Table 5—Higher Loan Limits Increase Constrained Students' Cumulative Borrowing

Years since entry:	0	1	2	3	4	5	6
Panel A. Texas sample, four-year college entrants (*observations:* 77,900)							
Constrained × *cohort*	191	738	1,245	1,694	1,787	1,835	1,853
$\in \{2006, 2007, 2008\}$	(56)	(221)	(413)	(557)	(628)	(668)	(711)
	{0.704}	{0.036}	{0.017}	{0.013}	{0.02}	{0.027}	{0.031}
Dependent variable mean	\$3,086	\$6,288	\$10,080	\$14,160	\$17,560	\$20,020	\$22,030
Panel B. Texas sample, community college entrants (*observations:* 42,843)							
Constrained × *cohort*	79	248	551	805	1,115	1,226	1,219
$\in \{2006, 2007, 2008\}$	(25)	(87)	(131)	(196)	(247)	(285)	(320)
	{0.828}	{0.572}	{0.222}	{0.071}	{0.012}	{0.003}	{0.004}
Dependent variable mean	\$2,703	\$4,272	\$5,874	\$7,589	\$9,237	\$10,570	\$11,690
Panel C. CCP/Equifax sample (*observations:* 143,871)							
Constrained × *cohort*	312	586	1,163	1,643	2,092	2,839	3,124
$\in \{2006, 2007, 2008\}$	(12)	(89)	(188)	(271)	(373)	(488)	(515)
	{0.379}	{0.484}	{0.258}	{0.163}	{0.132}	{0.082}	{0.080}
Dependent variable mean	\$3,384	\$9,899	\$17,110	\$23,941	\$30,577	\$36,085	\$40,155

Notes: The sample in panels A and B includes student borrowers who first enrolled in a public four-year higher education institution (panel A) or community college (panel B) in Texas, were classified as dependent students, and borrowed at or below the federal Stafford Loan maximum for first-year students. The sample in panel C includes borrowers who were younger than 20, borrowed at or below the federal Stafford Loan maximum for first-year students at entry, and maintained a credit report through the tenth year after entry. Each cell within a panel contains estimates from separate regressions of cumulative borrowing, measured X years after entry, where X is indicated in the column heading, on an indicator for being constrained at entry interacted with an indicator for being in the 2006, 2007, or 2008 entry cohorts. All specifications also include an indicator for being constrained at entry and cohort entry year fixed effects. Specifications in panels A and B also include entry school fixed effects and controls for URM, age at entry, EFC at entry, gender, fall-entrant, and in-state student. Specifications in panel C also include state and age at entry fixed effects; quarters from entry before a credit report was created fixed effects; indicators for having a credit card, auto loan, mortgage; number of credit accounts; and credit score, measured before entry. Robust standard errors, clustered by entry institution (panels A and B) or by entry state (panel C), in parentheses; p-values from wild cluster bootstrap-t in brackets.

These results are notable: Access to additional student loans substantially increases constrained students' borrowing, all other factors, including tuition costs and grants, held constant. This result is prima facie evidence of binding credit constraints for students who start college as a dependent student, a group that includes the majority of undergraduate student borrowers.

Recent work suggests that students may increase their borrowing in response to higher loan limits not because they are credit constrained but rather because they use heuristics or default into borrowing whatever amount offered (Marx and Turner 2019). However, Marx and Turner (2018) show this behavior can be rationalized as an "internal" credit constraint. While the underlying source of these credit constraints is different (financial markets versus behavioral biases), the end result is the same—when credit constraints are relaxed, students borrow more.

in cumulative total loans for Texas borrowers come from increases in federal Stafford Loans. We find no statistically significant changes in state loans, Perkins loans, or private loans. Online Appendix Table C.11 shows estimated effects of loan limit increases on the probability of any student loan take-up by years since entry in the Texas sample. The probability of borrowing increases 4 to 5 percentage points in the first 3 years after entry among four-year Texas entrants and 2 to 3 percentage points among community college entrants. This is likely due to the increase in persistence that results from increased student loan access—students are more likely to enroll and are hence more likely to borrow.